26CHCP00203 26CHCP00203

County: los-angeles

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Case Number: 26CHCP00203 Hearing Date: September 1, 2026 Dept: F43

Dept. F43

Hearing Date: 09-01-26

Case # 26CHCP00203, Gonzalez, et
al. v. Farmers Insurance Company

Trial Date: N/A

PETITION TO VACATE
ARBITRATION AWARD

and

PETITION TO CONFIRM
FINAL ARBITRATION AWARD

MOVING PARTY: Respondent Farmers Insurance Company

RESPONDING PARTIES: Petitioners Mario Gonzalez and Sonia Gonzalez

RELIEF REQUESTED

Order vacating the award of Arbitrator Roy L.
Paul (Ret.) because the Arbitrator exceeded his power.

RULING: Respondent’s petition to vacate is granted. The court confirms the original arbitration award issued by the Arbitrator on January 19, 2026. Petitioners’ petition to confirm is denied.

SUMMARY OF ACTION

Petitioners Mario Gonzalez and Sonia Gonzalez (Petitioners) sustained injuries and damages in a motor vehicle collision with an underinsured motorist on December 15, 2021. At the time, Petitioners were covered by an automobile insurance policy with respondent Farmers Insurance Company (Respondent). Based on the policy's dispute resolution provision, Petitioners filed and served a demand for arbitration with Signature Resolution, LLC on December 14, 2023.

Arbitration evidentiary hearings proceeding on December 1 and 2, 2025. At the conclusion of the December 2, 2025, hearing, the parties and the arbitrator (Honorable Roy L. Paul (Ret.)) agreed that closing briefs would be served and filed simultaneously by 1:00 p.m. on December 12, 2025, with no rebuttal briefs to follow. Petitioners timely served their brief on the Respondent, Signature Resolution, and Arbitrator. Respondent served its brief on the Arbitrator, but Petitioners never received Respondent's brief and Signature Resolution reported the document was never filed.

On January 19, 2026, the Arbitrator issued an original award in which it relied on both Petitioners' and Respondent's positions. (Declaration of Stephen C. Mancini, Exh. B.) The Arbitrator awarded $194,000 to petitioner Mario Gonzalez and $12,000 to petitioner Sonia Gonzalez. (Mancini Decl., Exh. B at p. 12:11-12.)

On January 27, 2026, Petitioners filed a request for correction, contending the Arbitrator's consideration of Respondent's unserved brief was a prohibited ex parte communication and identified mistakes in the award. (Declaration of Beau M. Goodrick ¶ 9; Mancini Decl., Exh. D.) Respondent filed and served a response on January 29, 2026. (Mancini Decl. ¶ 8, Exh. E.) The Arbitrator set a briefing schedule and hearing date on the request and heard oral argument on March 16, 2026. (Goodrick Decl. ¶

11.) On March 17, 2026, the Arbitrator found it was in excess jurisdiction to consider the unserved brief, issued an order vacating the original award, and set a new briefing schedule to allow the parties to re-brief the case and to simultaneously serve and file briefs by 1:30 p.m. on March 30, 2026. (Mancini Decl., Exh. G.) Trial was not be re-opened. (Id.) The parties then submitted briefs on the evidence already admitted at the December 1 and 2, 2025, evidentiary hearings. (Goodrick Decl. ¶ 13.)

On May 8, 2026, the Arbitrator issued a Final Arbitration Award, awarding $561,240 to petitioner Mario Gonzalez and $37,000 to petitioner Sonia Gonzalez. (Goodrick Decl. ¶ 15; Mancini Decl. ¶¶ 12-13, Exh. I.) The parties were electronically served with the final award and order that same day.

On June 1, 2026, Petitioners filed a Petition to Confirm the Arbitration award and to enter judgment on the award. (6/01/2026 Petition for Arbitration Award.) Respondent filed a response to the petition on June 4, 2026, asserting the final award was improperly revised and is subject to vacatur pursuant to Code of Civil Procedure section 1286.2; and the Arbitrator exceeded his powers by materially modifying the original award after issuing the award based on substantive reconsider of the merits and damages determination after his jurisdiction had expired.

On June 8, 2026, Respondent filed a Petition to Vacate the Arbitration Award on the same grounds as its response to the Petition to Confirm the Arbitration Award. Petitioners filed an opposition on June 15, 2026, and Respondent replied on August 24, 2026.

SUMMARY OF ARGUMENTS

Respondent moves to vacate the final arbitration award on the grounds that the Arbitrator Exceeded his authority by vacating the original arbitration award, reopening proceedings, reconsidering the merits, and issuing a substantially increased award. (Code Civ. Proc., § 1286.2, subd. (a)(4).) According to Respondent, the Arbitrator exceeded his authority by re-hearing the case on a de novo basis—requesting further closing arguments and then setting the matter for oral arguments. Respondent insists there was no mention of prejudice for failing to timely serve its brief and that its conduct was nothing more than a harmless error.

Respondent contends the Arbitrator was functus officio when he acted—meaning, the arbitrator's authority ends once a final award issues.

In opposition, Petitioners contend the Arbitrator did not exceed his jurisdiction by performing a forbidden correction under Code of Civil Procedure section 1286.6 and Signature Resolution, Rule 28. The Arbitrator reopened an award for "good cause" pursuant to Signature Rule 26.

According to Petitioners, the functus officio doctrine does not apply here because the timely correction application kept the matter before the arbitrator; Signature Resolution, Rule 26 expressly authorizes the arbitrator to reopen a matter for "good cause"; and the doctrine does not preserve a void award, such as the original arbitration award.

REQUESTS FOR JUDICIAL NOTICE

Pursuant to Evidence Code section 452, subdivision (h), the court on its own take judicial notice of Signature Resolution, LLC's Arbitration Rules (effective June 5, 2020), located on Signature Resolution's website at https://signatureresolution.com/signature-arbitration-rules. (See Boghos v. Certain Underwriters at Lloyd's of London (2005) 36 Cal.4th 495, 505-506, fn. 6; Emerald Aero, LLC v. Kaplan (2017) 9 Cal.App.5th 1125, 1132; Lew-Williams v. Petrosian (2024) 101 Cal.App.5th 97, 109, fn. 14. See Declaration of Stephen C. Mancini, Exh. C [incomplete copy of Signature Resolution, LLC's Arbitration Rules (effective June 5, 2020)].

ANALYSIS

A. Confirming, Correcting, or Vacating an Arbitration Award

"Any party to an arbitration in which an award has been made may petition the court to confirm, correct or vacate the award." (Code Civ. Proc., § 1285.) The petition must state the substance, or attach copies of the arbitration agreement, the award, and any written opinion. (Code Civ. Proc., § 1285.4.) The petitioner must serve the petition between 10 days and 4 years from the date the award was served on the petitioner. (Code Civ. Proc., §§ 1288, 1288.4.) The other party may respond to the petition. (Code Civ. Proc., § 1285.2.)

“If a petition or response under this chapter is duly served and filed, the court shall confirm the award as made, whether rendered in this state or another state, unless in accordance with this chapter it corrects the award and confirms it as corrected, vacates the award or dismisses the proceeding.” (Code Civ. Proc., § 1286.) The court may not vacate or correct an award unless a petition or response requesting that the award be vacated or corrected has been duly served and filed. (Code Civ. Proc., §§ 1286.4 & 1286.8.) “Once a petition to confirm an award is filed, the superior court must select one of only four courses of action: It may confirm the award, correct and confirm it, vacate it, or dismiss the petition. [Citation.]” (EHM Productions, Inc. v. Starline Tours of Hollywood, Inc. (2018) 21 Cal.App.5th 1058, 1063.) “If an award is confirmed, judgment shall be entered in conformity therewith.” (Code Civ. Proc., § 1287.4.)

The court may not review “the merits of the dispute, the sufficiency of the evidence, or the arbitrator’s reasoning, nor may we correct or review an award because of an arbitrator’s legal or factual error, even if it appears on the award’s face.
Instead, we restrict our review to whether the award should be vacated under the grounds listed in section 1286.2.” (Roehl v. Ritchie (2007) 147 Cal.App.4th 338, 347, citations omitted; Luster v. Collins (1993) 15 Cal.App.4th 1338, 1344.)

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B. Respondent’s
Petition to Vacate the May 8, 2026, Final Arbitration Award is granted pursuant to Code of Civil Procedure section 1286.2, subdivision (a)(4) and the functus officio doctrine.

“The court must vacate an arbitration award if the court determines . . . The arbitrators exceeded their powers and the award cannot be corrected without affecting the merits of the decision upon the controversy submitted.” (Code Civ. Proc., § 1286.2, subd. (a)(4).) “The court may not vacate an award unless: (a) A petition or response requesting that the award be vacated has been duly served and filed; or (b) A petition or response requesting that the award be corrected has been duly served and filed and: (1) All petitioners and respondents are before the court; or (2) All petitioners and respondents have been given reasonable notice that the court will be requested at the hearing to vacate the award or that the court on its own motion has determined to vacate the award and all petitioners and respondents have been given an opportunity to show why the award should not be vacated.” (Code Civ. Proc., § 1286.4, subds. (a)-(b).)

“The court may not correct an award unless: . . . (b) A petition or response requesting that the award be vacated has been duly served and filed and: (1) All petitioners and respondents are before the court; or (2) All petitioners and respondents have been given reasonable notice that the court will be requested at the hearing to correct the award or that the court on its own motion has determined to correct the award and all petitioners and respondents have been given an opportunity to show why the award should not be corrected.” (Code Civ. Proc., § 1286.8, subd. (a)-(b).)

Subject to Section 1286.8, the court, unless it vacates the award pursuant to Section 1286.2, shall correct the award and confirm it as corrected if the court determines that . . . The arbitrators exceeded their powers but the award may be corrected without affecting the merits of the decision upon the controversy submitted[.]” (Code Civ. Proc., § 1286.6, subd. (b).)

The Arbitrator exceeded his authority by failing to timely grant or deny Petitioners’ application to correct; vacating the original arbitration award and ordering re-briefing of closing arguments; reconsidering the merits of the case; and issuing an amended and substantially increased final arbitration award.

Here, the Arbitrator exceeded his authority pursuant to Code of Civil Procedure section 1286.2, subdivision (a)(4) and the functus officio doctrine.

"An Arbitrator exceeds his powers when he acts without subject matter jurisdiction, decides issues not submitted to arbitration, arbitrarily remakes the contract, upholds illegal contracts, issues an award that violates well-defined public policy [or statutory rights], fashions a remedy that is not rationally related to the contract, or selects a remedy not authorized by law." (O'Flaherty v. Belgum (2004) 115 Cal.App.4th 1044, 1056, citations omitted.)
"Although [Code of Civil Procedure] section 1286.2 permits the court to vacate an award that exceeds the arbitrator's powers, the deference due an arbitrator's decision on the merits of the controversy requires a court to refrain from substituting its judgment for the arbitrator's in determining the contractual scope of those powers." (Jordan v. California Dep't of Motor Vehicles (2002) 100 Cal.App.4th 431, 444 [quoting Advanced Micro Devices, Inc. v. Intel Corp. (1994) 9 Cal.4th 362, 372].) However, "[a]n arbitrator may exceed his or her powers 'by issuing an award that violates a party's unwaivable statutory rights or that contravenes an explicit legislative expression of public policy.'" (Bacall v. Shumway (2021) 61 Cal.App.5th 950, 659 [quoting Richey v. AutoNation, Inc. (2015) 60 Cal.4th 909, 916].) "An arbitrator does not exceed his or her powers by making a legal or factual error or by giving erroneous reasons for an award." (Harris v. Sandro (2002) 96 Cal.App.4th 1310, 1313, citations omitted.)

Pursuant to Petitioners' insurance policy with Respondent
"The arbitrator shall determine (1) if the insured person is legally entitled to recover damages from the owner or operator of an uninsured motor vehicle, and, if so, (2) the amount of payment under this part as determined by this policy or any other applicable policy."
(Petition to Confirm, Attachment 4(a) at p. 13, ¶ I.) "Local court rules governing procedures and evidence will apply." (Petition to Confirm, Attachment 4(b) at p. 13, ¶ I.)

The parties conducted their arbitration through Signature Resolution, LLC.

According to Signature Rule 26, "When the Arbitration hearing has been completed, including final submission of all additional material including, but not limited to, post-closing briefs to be provided, the hearing shall be deemed 'closed.' If the Parties are to engage in post-closing briefing of there are other matters to be considered before the matter is deemed submitted, the Arbitrator may defer closing until those conditions have been satisfied." (Mancini Decl., Exh. C at p. 11.) However, the "Arbitrator shall have authority to reopen provided there is a finding of good cause to do so. Such finding need not be in writing." (Id., Exh. C at p. 11.)

Here, the evidentiary hearing was completed on December 2, 2025, and the original round of closing briefs by December 12, 2025. (Goodrick Decl. ¶ 6; Declaration of Marina Cerda ¶¶ 4-5.) The Arbitrator issued the original award on January 19, 2026, with the document being served on January 20, 2026. (Mancini Decl., Exh. B at pp. 12-14.)

Although it would appear the matter was deemed submitted at this point, Signature Rule 28 provides a procedure by which the parties could challenge the arbitration award. "Any Party or the Arbitrator may seek to correct the Arbitration Award within fifteen (15) days of its issuance. Any Party May request the Arbitrator correct the Award whether based upon computational or other errors in calculation, or evident mistake in the description of the any person, thing or property referred to in the Award." (JN - Signature Resolution, LLC Arbitration Rules at p. 12.) "[T]he Arbitrator shall have the authority to correct any Award on any basis by advising the Parties not less than ten (10) days of any such intention to do so. The Arbitrator may extend the time for or corrections upon a finding of good cause." (JN - Signature Resolution, LLC Arbitration Rules at p. 12.)

Rule 28 incorporates Civil Code Section 1284, which allows arbitrators to correct an award upon written application within certain time limitations.

According to Rule 28, Petitioners timely filed and served their objection to the award and request for correction on January 27, 2026, seven (7) days after the original award was issued. (Mancini Decl., Exh. D; Goodrick Decl. ¶ 9.) The Arbitrator then served an Order Setting Oral Argument on Claimant's Motion to Correct, scheduling a hearing for March 16, 2026, and ordering an opposition and reply be filed and served. (Respondent's Petition to Vacate at p. 27:4-8.) Respondent timely filed and served a response on January 29, 2026, claiming it inadvertently failed to serve its brief on Petitioners which amounts to no more than a "harmless error" because there was no prejudice to Petitioners. (Mancini Decl., Exh. E at pp. 2:24-6.) Respondent did not address Petitioners' evidentiary arguments.

The Arbitrator later issued an order vacating the original award, finding Respondent's failure to serve Petitioners was not a harmless error but an irregularity in the proceedings. (Mancini Decl., Exh. G.) According to the Arbitrator, he would not have considered Respondent's brief if he had known that Respondent never served the brief on Petitioners. Thus, the outcome of the original award and order may have been different. Thus, the court ordered a re-briefing of the case de novo but did not reopen trial for further evidentiary proceedings.

Although, Petitioners and Respondent timely filed their briefs according to Rule 28, the Arbitrator exceeded his authority by failing to grant or deny Petitioners' application within 30 days of the issuing the original award.

In the arbitration context, the functus officio doctrine is a common law doctrine providing that once an arbitrator issues a final award, the arbitrator's authority over the dispute is exhausted and the arbitrator may not alter, revise, or reconsider that award on the merits. (Heimlich v. Shivji (2019) 7 Cal.5th 350, 362; see also Elliott & Ten Eyck P'ship v. City of Long Beach (1997) 57 Cal.App.4th 495, 501.)

However, "issuance of an award does not immediately and automatically terminate an arbitrator's powers." (Heimlich, supra, 7 Cal.5th at pp. 362-363, fn. 4.) "The doctrine applies only after the arbitrator's assigned duties have ended. Further, common law rules are subject to legislative revision. The Legislature may confer authority to correct or amend a final decision or make additional rulings contingent upon, and necessarily subsequent to, a final award. A change in the scope of an arbitrator's duties will affect when those duties have been completed and the arbitrator's powers extinguished." (Heimlich, supra, 7 Cal.5th at p. 363 [citing Moncharsh v. Heily & Blase (1992) 3 Cal.4th 1, 8-13; McMillin Albany LLC v. Superior Court (2018) 4 Cal.5th 241, 249].)

The California Legislature has authorized continuing jurisdiction after the issuance of a final award thorough Code of Civil Procedure section 1284. (Heimlich, supra, 7 Cal.5th at p.363.) Upon written application of a party to the arbitration, the arbitrator may correct the award upon any grounds set forth in Section 1286.6, subdivisions (a) and (c) no later than 30 days after service of a signed copy of the award on the applicant. (Code Civ. Proc., § 1284.) The application must be made no later than 10 days after service of the signed copy of the award on the applicant. (Id.) Objections to the application must be made in writing no later than 10 days after the application is delivered to the objector. “If no application for correction is filed within 10 days, jurisdiction expires and a petition to vacate or confirm may be filed in superior court. If an application is filed, the arbitrator retains jurisdiction for up to 30 days after the award was filed.” (Heimlich, supra, 7 Cal.5th at p. 363, emphasis added [citing Cooper v. Lavely & Singer Professional Corp. (2014) 230 Cal.App.4th 1, 18; Code Civ. Proc., § 1284].) Signature Rule 28 also reflects this same 30-day jurisdictional bar. (See JN - Signature Resolution, LLC Arbitration Rules at p. 12.)

The original arbitration award was issued on January 19, 2026, and electronically served on the parties on January 20, 2026. (Mancini Decl., Exh. B at pp. 12-14.) Pursuant to Section 1284, the Arbitrator’s ruling on Petitioners’ application should have been issued no later than February 19, 2026. Instead of issuing a ruling by the deadline, the Arbitrator set a further briefing schedule and hearing date for March 16, 2026. Despite the arbitrator’s authority in the Signature Rule 26 to order additional post-closing briefing, the Arbitrator’s briefing schedule effectively contravened the requirements in Section 1284 (and Rule 28). Because the Arbitrator issued the ruling on Petitioners’ application to correct after February 19, 2026, the Arbitrator acted after his assigned duties had ended and his jurisdiction ceased.

Section 1284’s requirements are mandatory. Because Section 1284 “gave the arbitrator a limited period of time in which to rule on the motions for correction of the award and amendment of the pleadings” and the Arbitrator did not issue and serve his ruling within that limited period, Petitioners’ request to correct the original arbitration award should have automatically been deemed denied. (Landis v. Pinkertons, Inc.

(2004) 122 Cal.App.4th 985, 990-991; see also Taska v. RealReal, Inc. (2022) 85 Cal.App.5th 1, 8-12.)

The court does not consider Respondent's and Petitioners' other arguments.

Thus, under the functus officio doctrine and Code Civ. Proc., § 1286.2, subd. (a)(4), the court finds the May 8, 2026, arbitration award is void because the Arbitrator exceeded his authority when he (1) vacated the original arbitration award; (2) ordered re-briefing of the issues in controversy; (3) reconsidered the merits of the case; and (4) issued an amended arbitration award.

Therefore, the court grants Respondent's petition to vacate the arbitration award issued by Arbitrator Roy L. Paul on May 8, 2026. The court confirms the original arbitration award issued by the Arbitrator on January 19, 2026, and attached as Exhibit B to Declaration of Stephen C. Mancini:

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Total award to Mario Gonzalez is $194,000

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Total award to Sonia Gonzalez is $12,000

C. Petitioner's Petition to Confirm the May 8, 2026, Final Arbitration Award is denied.

Because the Arbitrator lacked jurisdiction when he issued the March 17, 2026, ruling on Petitioners' application to correct the arbitration award, the Arbitrator also lacked jurisdiction to issue the amended Final Arbitration Award, making the award void.
Therefore, the court denies Petitioners' petition to confirm the May 8, 2026, Final Arbitration Award.

CONCLUSION and ORDER

Respondent Farmers Insurance Exchange's Petition to Vacate the Arbitration Award is granted.
Petitioners Mario Gonzalez's and Sonia Gonzalez's Petition to Confirm the Arbitration Award is denied.

The court confirms the original arbitration
award issued by the Arbitrator on January 19, 2026

Mario Gonzalez and Sonia Gonzalez to give notice.